Indicative Term Sheet – Project Kaveri

Strictly private and confidential. For discussion purposes only; not an offer.

1. Issuer

Kaveri Precision Components Private Limited (the "Issuer"), a private company incorporated in India with CIN U29253MH2011PTC215478 and PAN AAFCK4821M.

2. Instrument

Senior secured, rated, listed, redeemable non-convertible debentures ("NCDs") of face value ₹1,00,000 each, issued on a private placement basis.[1]

3. Ticket size

INR 150 crore (Rupees One Hundred and Fifty Crore only), in one or more tranches.

4. Tenor

60 months from the Deemed Date of Allotment, with a bullet redemption at par.

5. Coupon

11.25% per annum, payable quarterly, on an actual/365 day-count basis.[2]

6. Security

First ranking exclusive charge over the movable fixed assets of the Hosur and Chakan plants, with a minimum security cover of 1.25 times the outstanding amount.

7. Financial covenants

Minimum DSCR of 1.25x and Net debt to EBITDA not exceeding 2.5x, tested semi-annually on the audited or reviewed financial statements.

8. Use of proceeds

Refinancing of existing term loans, capital expenditure on the new machining line and general corporate purposes not exceeding 25% of the issue size.

9. Conditions precedent

Execution of the debenture trust deed, creation of security, credit rating of at least A- and receipt of the board and shareholder resolutions.

10. Governing law and jurisdiction

The NCDs shall be governed by the laws of India. The courts and tribunals at Mumbai shall have exclusive jurisdiction.[3]

11. Fees

Arranger fee of 0.75% of the issue size, payable on the Deemed Date of Allotment.

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[1] The NCDs will be listed on the wholesale debt market segment of BSE Limited.

[2] Step-up of 0.50% per annum for every notch of rating downgrade below A-.

[3] Subject to the arbitration clause in the debenture trust deed.